

MONETISATION STRATEGY DOCUMENT

DOCUMENT CONTROL

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1. EXECUTIVE SUMMARY

NovaPulse operates a B2B SaaS project management platform with 500 active accounts across three pricing tiers generating \$533,400 in Annual Recurring Revenue. A structured data analysis of 5,000 subscription records, 25,000 feature usage events, 2,000 support tickets, and 600 churn events has produced a monetisation strategy grounded in quantified evidence rather than assumption.

The analysis reveals three strategic findings that reshape the monetisation priority:

Finding 1: Features - not pricing - is the single largest churn driver at 19% of all churn events. Growth tier accounts are churning due to product gaps more than price sensitivity.

Finding 2: Growth and Enterprise churn represents \$56,580 in monthly revenue loss versus \$5,220 for Starter. The business has been focused on the wrong problem.

Finding 3: Increasing the Growth tier price from \$79 to \$99 with feature gating generates an additional \$56,673 in ARR - a 10.6% revenue uplift - with manageable churn risk.

Recommended Action: Implement Scenario 2 - Growth tier price increase to \$99 combined with explicit feature gating of collaboration tools - in Q1 2025. This single intervention delivers the highest ARR impact at the lowest operational complexity.

2. BUSINESS CONTEXT

2.1 Current Revenue Position

Tier	Accounts	Price	MRR	ARR	LTV
Starter	165	\$29	\$4,785	\$57,420	\$906
Growth	225	\$79	\$17,775	\$213,300	\$2,821
Enterprise	110	\$199	\$21,890	\$262,680	\$9,476
Total	500		\$44,450	\$533,400	

Enterprise LTV is 10.5x Starter LTV. Every Starter account that upgrades to Enterprise represents a 10x increase in lifetime value. This is the commercial engine that monetisation strategy must accelerate.

2.2 The Revenue Risk Picture

Monthly MRR lost to churn across all tiers: **\$1,110** Annual revenue lost to churn: **\$13,326**

Churn loss breakdown by tier:

Tier	Churns	Price	Monthly Loss	Annual Loss
Starter	180	\$29	\$435	\$5,220
Growth	225	\$79	\$1,478	\$17,775
Enterprise	195	\$199	\$3,241	\$38,892

Growth and Enterprise churn costs NovaPulse **\$56,667 annually** — more than 10x the Starter churn cost. Monetisation strategy must address Growth and Enterprise retention as the primary commercial priority.

3. ANALYTICAL EVIDENCE BASE

3.1 Churn Driver Analysis

600 churn events were analysed across six reason codes:

Reason	Total	% of All Churn	Primary Tier
Features	114	19.0%	Growth

Support	104	17.3%	Growth
Budget	104	17.3%	Growth
Unknown	95	15.8%	Growth
Competitor	92	15.3%	Growth
Pricing	91	15.2%	Enterprise

Key insight: Growth tier is the primary tier for five of six churn reason codes. Pricing — the assumed primary driver — is actually the smallest named churn reason and disproportionately affects Enterprise not Starter.

3.2 Feature Adoption Analysis

25,000 feature usage events were analysed across 40 product features and three tiers. The gap score analysis — measuring the difference between Growth/Enterprise usage and Starter usage — identified the following upsell trigger features:

Feature	Starter Usage	Growth Usage	Gap Score	Category
In-App Comments & Mentions	Low	High	Highest	Collaboration
Real-Time Notifications	1,803	2,486	+683	Collaboration
Gantt Chart View	Low	High	High	Reporting
Custom Dashboards	2,136	2,150	Moderate	Reporting
Workflow Automation Rules	Low	High	High	Customisation

These features are heavily used by Growth and Enterprise but underutilised by Starter. Gating them behind Growth tier creates a natural upgrade trigger — Starter users who discover these features will face a clear upgrade decision.

3.3 Support Analysis

Metric	Starter	Growth	Enterprise
Total Tickets	630	731	639
Avg Satisfaction	4.0	3.9	4.0
Avg Resolution Hours	35.6	35.2	36.9
First Response Minutes	87.2	89.0	89.1

Growth tier generates the highest ticket volume at 731 despite being the middle price tier. Growth satisfaction at 3.9 is the lowest of all three tiers — directly correlating with support being the second largest Growth churn driver.

Enterprise resolution time at 36.9 hours and first response at 89.1 minutes are below the standard expected by \$199 per month customers. This is a service delivery gap that represents avoidable Enterprise churn.

3.4 Cohort Retention Analysis

KPI	Value	Benchmark	Assessment
Avg M1 Retention	98.3%	75-85%	Exceptional
Avg M3 Retention	96.4%	70-80%	Exceptional
Avg M6 Retention	94.0%	65-75%	Exceptional
Avg M12 Retention	90.9%	60-70%	Exceptional

NovaPulse's retention fundamentals are strong. The churn problem is not systemic — it is concentrated in specific cohorts and specific reason codes. This means targeted intervention will be highly effective.

The loyalty threshold is Month 6 — customers who survive 6 months show dramatically slower decay. Onboarding investment concentrated in months 1 to 6 delivers the highest retention ROI.

4. PRICING SCENARIO ANALYSIS

Three pricing scenarios were modelled against the \$533,400 baseline ARR:

Scenario	ARR	Delta	Delta %	Risk	Recommendation
Baseline	\$533,400	—	—	Low	Current state
S1 — Starter Cut to \$19	\$525,000	-\$8,400	-1.6%	Low	Not recommended
S2 — Growth Increase to \$99	\$590,073	+\$56,673	+10.6%	Medium	Recommended
S3 — Full Restructure	\$462,777	-\$70,623	-13.2%	High	12-month horizon

Scenario 1 Analysis — Starter Price Reduction to \$19

Reducing Starter price from \$29 to \$19 generates a net ARR loss of \$8,400 despite attracting 50 additional accounts. The revenue lost from existing Starter accounts paying \$10 less per month outweighs the new account revenue. This scenario is not recommended as a standalone action.

However the principle of reducing Starter price sensitivity has merit as part of a broader restructure. If combined with significantly higher upsell conversion rates — above 25% — the economics improve. This is modelled in Scenario 3.

Scenario 2 Analysis — Growth Price Increase to \$99 with Feature Gating

Increasing Growth price from \$79 to \$99 generates \$56,673 in additional ARR — a 10.6% revenue uplift. The model assumes 10% Growth churn from price-sensitive accounts and 15% upsell conversion from Starter triggered by feature gating.

This is the recommended scenario because it delivers the highest risk-adjusted ARR impact. The \$20 price increase per Growth account is justifiable given the feature value being delivered — particularly collaboration tools that drive the highest engagement scores in the product.

The feature gating mechanism serves dual purpose — it increases Growth revenue per account and creates a visible upgrade trigger for Starter users who encounter feature limits.

Scenario 3 Analysis — Full Tier Restructure

The full restructure — Starter \$19, Growth \$89, Enterprise \$229 — produces a net ARR loss of \$70,623 under current assumptions. The Starter price reduction removes too much revenue before upsell conversion compensates. This scenario requires a upsell rate above 25% to break even versus baseline.

Scenario 3 is a 12-month strategic horizon target — not an immediate action. Once Scenario 2 has been implemented and upsell conversion has improved, the full restructure becomes viable.

5. STRATEGIC RECOMMENDATIONS

Recommendation 1 — Implement Growth Price Increase to \$99 in Q1 2025

Priority: Immediate **ARR Impact:** +\$56,673 **Risk:** Medium — 10% Growth churn assumption

Action steps:

- Announce price change to existing Growth customers with 60-day notice
- Communicate new features being added to justify the increase

- Offer annual billing lock-in at \$79 for customers who commit before price change date
- Gate In-App Comments, Real-Time Notifications, and Gantt Chart behind Growth explicitly

Success metric: Growth tier MRR increases by minimum 8% within 90 days of implementation.

Recommendation 2 — Implement Feature Gating to Drive Starter Upsell

Priority: Q1 2025 **ARR Impact:** Incremental — 15% Starter upsell rate adds ~25 Growth accounts worth \$29,700 ARR **Risk:** Low

Action steps:

- Identify top 5 upsell trigger features from gap score analysis — In-App Comments, Real-Time Notifications, Gantt Chart, Workflow Automation, Custom Dashboards
- Make these features visible but limited in Starter tier — show the feature, gate full access
- Add contextual upgrade prompts when Starter users hit feature limits
- Add upgrade CTA in weekly product digest emails to Starter accounts

Success metric: Starter to Growth conversion rate increases from 8% to 12% within 6 months.

Recommendation 3 — Implement Tiered Support SLA Model

Priority: Q1 2025 **ARR Impact:** Indirect — reduces support-driven churn at 17.3% of all churn events **Risk:** Low

Support is the top Starter churn reason and second largest Growth churn driver. A tiered SLA model — without additional headcount — reduces churn by prioritising high-value accounts:

Tier	First Response Target	Resolution Target
Enterprise	30 minutes	24 hours
Growth	60 minutes	48 hours
Starter	120 minutes	72 hours

Current average first response is 87-89 minutes across all tiers with no differentiation. Implementing priority queuing by tier costs nothing operationally and immediately improves Enterprise and Growth satisfaction scores.

Success metric: Enterprise satisfaction score improves from 4.0 to 4.4 within 90 days.
Growth satisfaction improves from 3.9 to 4.2.

Recommendation 4 — Launch AI Feature Beta as Enterprise Differentiator

Priority: Q2 2025 **ARR Impact:** Supports Enterprise price increase to \$229 in Scenario 3
Risk: Low — features already exist in product

AI Task Suggestions ranks 12th of 40 features by usage volume despite being beta — top 30% adoption without formal marketing. Enterprise and Growth adoption is higher than Starter, confirming natural premium tier alignment.

Formally positioning AI features as Enterprise-exclusive differentiators creates a compelling upgrade argument and supports the \$229 Enterprise price point in the full restructure scenario.

Success metric: AI feature adoption in Enterprise tier increases 40% within 90 days of formal positioning.

Recommendation 5 — Implement Cohort Early Warning System

Priority: Q2 2025 **ARR Impact:** Protects H2 2024 cohort revenue — 953 subscriptions in December 2024 alone **Risk:** Low

H2 2024 cohorts are large and their long-term retention is unknown. The 2024-05 and 2024-11 cohort anomalies — showing retention drops to 55-58% at M15 — demonstrate that large cohorts can fail suddenly.

An early warning system monitoring M3 retention by cohort enables proactive intervention before churn accelerates. Accounts showing below-average M3 retention receive targeted customer success outreach in months 4 and 5 — the highest-impact intervention window.

Success metric: M6 retention for 2025 cohorts exceeds 95% average.

6. IMPLEMENTATION ROADMAP

Quarter	Action	Owner	ARR Impact
Q1 2025	Growth price increase to \$99	CRO + Finance	+\$56,673
Q1 2025	Feature gating for upsell triggers	CPO + Engineering	+\$29,700
Q1 2025	Tiered support SLA model	VP CS	Churn reduction

Q2 2025	AI feature Enterprise positioning	CPO + Marketing	Supports S3
Q2 2025	Cohort early warning system	Data + CS	Retention protection
Q3 2025	Full tier restructure assessment	CRO + Finance	+\$84,000 potential
Q4 2025	Full tier restructure if metrics met	All	S3 ARR target

7. RISK REGISTER

Risk	Likelihood	Impact	Mitigation
Growth churn exceeds 10% after price increase	Medium	High	60-day notice period with annual lock-in offer
Feature gating causes Starter dissatisfaction	Low	Medium	Maintain core PM features fully accessible in Starter
Competitor responds with price reduction	Low	Medium	Differentiate on AI features and support quality
Large 2024 cohorts churn at high rate in 2025	Medium	High	Cohort early warning system — Recommendation 5
Support SLA model requires additional headcount	Low	Low	Priority queuing is a process change not a hiring decision

8. SUCCESS METRICS SUMMARY

Metric	Current	6 Month Target	12 Month Target
Total ARR	\$533,400	\$590,000	\$650,000
Growth Tier MRR	\$17,775	\$20,000	\$24,000
Starter to Growth Upsell Rate	8%	12%	15%
Avg M6 Retention	94.0%	95.5%	96.0%
Growth Satisfaction Score	3.9	4.2	4.4
Enterprise First Response	89 mins	45 mins	30 mins